AI EQUITY RESEARCH

April 24, 2026

MICROSOFT CORPORATION

MSFT • Technology • Software - Infrastructure

RATING
SELL
MEDIUM conviction

Next Earnings: 2026-04-30 EPS est. 4.07 Rev est. $81.4B

CURRENT PRICE	FAIR VALUE	UPSIDE / DOWNSIDE	MARKET CAP
$417.96	$261.13 Discounted Cash Flow (Free Cash Flow to Firm) — 2-stage model	-37.5%	$3,103.7B

Summary — Microsoft's stock is overvalued, with a fair value assessment of $261.13, and faces risks from failing to meet growth targets and increasing competition.

WACC / COST OF EQUITY	9.67%	EV / EBITDA	17.8x
ENTERPRISE VALUE	$1,952.0B	P / E	26.2x
VALUATION MODEL	DCF_FCFF	P / S	n/a

Investment Thesis

Bull Case

Microsoft's stock could be driven significantly higher if the company exceeds its projected revenue growth, particularly in its cloud and software segments, which have been key drivers of growth.

- Exceeding projected revenue growth of $301.1B, $348.3B, $400.3B, $443.5B, and $472.9B over the next five years
- Increasing operating margin beyond the assumed 0.4562
- Beating the projected free cash flow to firm (FCFF) of $102.5B, $118.6B, $136.3B, $150.9B, and $161.0B

Base Case

The base case scenario suggests that Microsoft's stock is overvalued, with a fair value assessment of $261.13, implying a downside of 0.3752% from the current price of $417.965.

$261.13

Bear Case

The bear case scenario suggests that Microsoft's stock could experience significant downside if the company fails to meet its projected growth targets, particularly in its cloud and software segments, or if the overall technology sector experiences a downturn.

- Failure to meet projected revenue growth
- Decrease in operating margin
- Increase in competition from peers such as Apple, Alphabet, and Amazon

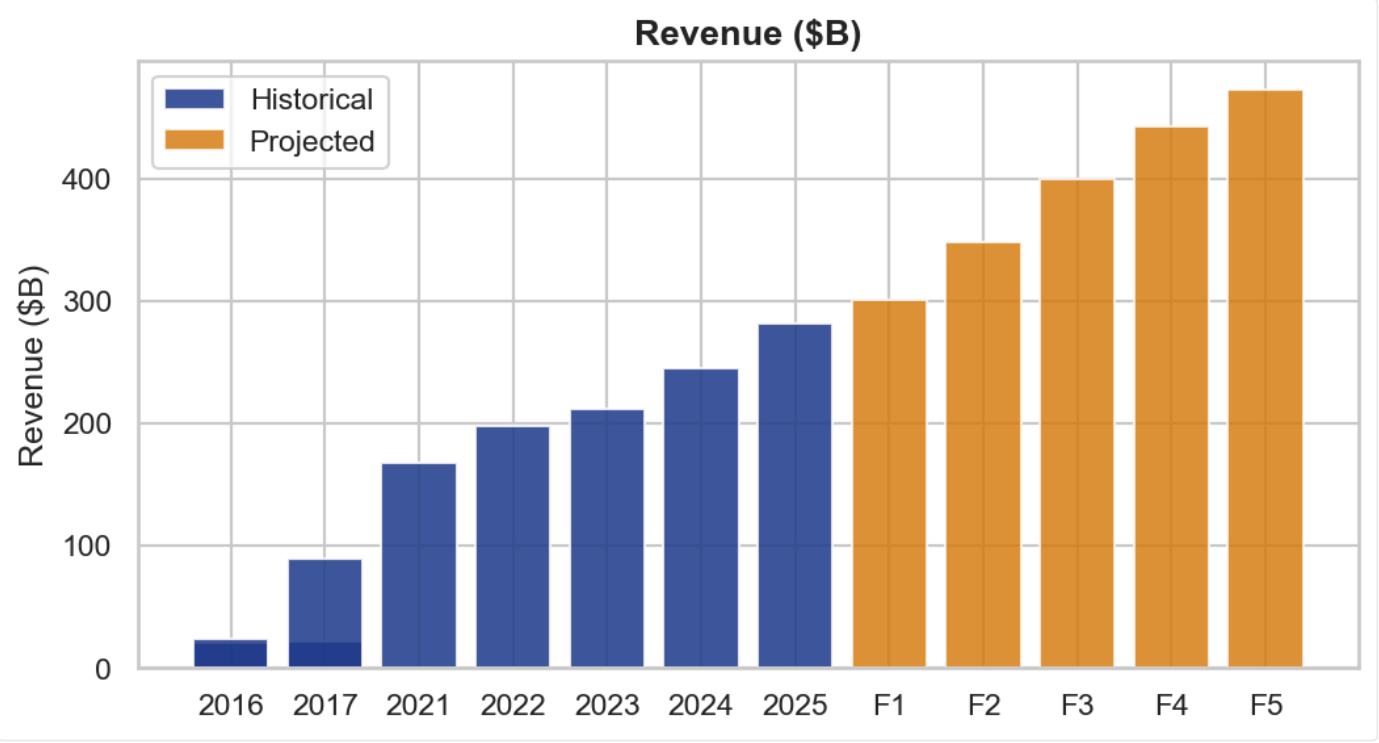
Key Catalysts

- Release of new cloud and software products
- Earnings reports and guidance
- Mergers and acquisitions activity

Financial Analysis

Historical Financials (SEC EDGAR — last 10 periods)

Period End	Revenue	Gross Profit	Operating Income	Net Income	CFO	CapEx	Equity	EPS
2025-06-30	$281.7B	$193.9B	$128.5B	$101.8B	n/a	$64.6B	$343.5B	$13.70
2024-06-30	$245.1B	$171.0B	$109.4B	$88.1B	n/a	$44.5B	$268.5B	$11.86
2023-06-30	$211.9B	$146.1B	$88.5B	$72.4B	n/a	$28.1B	$206.2B	$9.72
2022-06-30	$198.3B	$135.6B	$83.4B	$72.7B	n/a	$23.9B	$166.5B	$9.70
2021-06-30	$168.1B	$115.9B	$69.9B	$61.3B	n/a	$20.6B	$142.0B	$8.12
2020-06-30	n/a	n/a	n/a	n/a	n/a	n/a	n/a	—
2017-06-30	$90.0B	n/a	n/a	n/a	n/a	n/a	n/a	—
2017-03-31	$22.1B	n/a	n/a	n/a	n/a	n/a	n/a	—
2016-12-31	$24.1B	n/a	n/a	n/a	n/a	n/a	n/a	—
2016-09-30	$20.5B	n/a	n/a	n/a	n/a	n/a	n/a	—



Source: Historical bars from SEC EDGAR XBRL filings (10-K/10-Q annual revenue). **F1–F5** = projected Forecast Years 1 through 5, computed by the DCF engine (no LLM): starting from the latest reported revenue, growth for years 1–3 is set to the trailing 3-year YoY growth rate, then fades linearly toward the terminal growth assumption (2.5%) by year 5. Year-by-year growth rates used: 6.9%, 15.7%, 14.9%.

Quarterly Trend (last 12 quarters)

Period End	Revenue	Operating Income	Net Income	CFO
2025-12-31	$158.9B	$76.2B	$66.2B	—
2025-09-30	$77.7B	$38.0B	$27.7B	—
2025-06-30	$281.7B	$128.5B	$101.8B	—
2025-03-31	$205.3B	$94.2B	$74.6B	—
2024-12-31	$135.2B	$62.2B	$48.8B	—
2024-09-30	$65.6B	$30.6B	$24.7B	—
2018-03-31	$80.3B	—	—	—
2017-12-31	$53.5B	—	—	—

Key Ratios (most recent year)

Category	Metric	Value
Profitability	Gross Margin	68.82%
Profitability	Operating Margin	45.62%
Profitability	Net Margin	36.15%
Profitability	Cost Ratio	31.18%
Returns	Roe	29.65%
Returns	Roa	16.45%
Returns	Roic	29.72%
Leverage	Debt To Equity	12.56%
Leverage	Debt To Assets	6.97%
Leverage	Debt To Ebitda	—
Leverage	Equity Multiplier	1.8x
Leverage	Interest Coverage	43.79x
Efficiency	Asset Turnover	45.51%
Efficiency	Receivables Turnover	—
Efficiency	Days Sales Outstanding	—
Efficiency	Inventory Turnover	93.64x
Valuation	Market Cap	$3,106.4B
Valuation	Enterprise Value	$3,119.3B
Valuation	Pe Ratio	30.51x
Valuation	Ev To Revenue	11.07x
Valuation	Ev To Ebitda	—
Valuation	Price To Book	9.04x
Valuation	Price To Sales	11.03x
Valuation	Earnings Yield	3.28%
Valuation	Fcf Yield	—

Valuation — Discounted Cash Flow (Free Cash Flow to Firm) — 2-stage model

FAIR VALUE

$261.13

-37.5% vs current

DCF — FCFF 2-Stage

ENTERPRISE VALUE	$1,952.0B	WACC	9.67%
EQUITY VALUE	$1,939.1B	TERMINAL VALUE (UNDISC.)	$2,301.6B

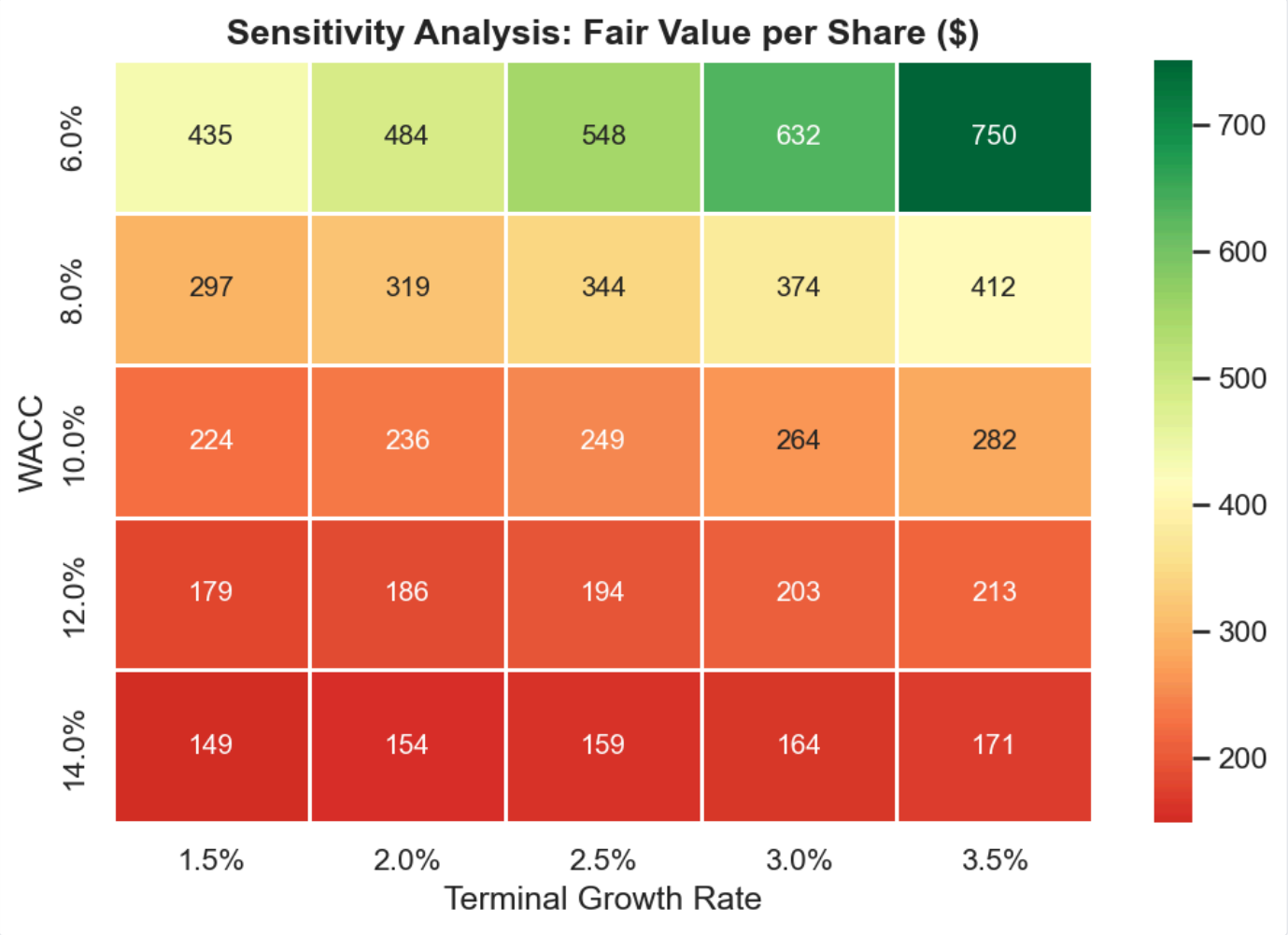
REVENUE PROJECTION ($B)

Year 1	Year 2	Year 3	Year 4	Year 5
301.1	348.3	400.3	443.5	473.0

PROJECTED FCFF ($B)

Year 1	Year 2	Year 3	Year 4	Year 5
102.5	118.56	136.27	150.97	161.0

SENSITIVITY — WACC × TERMINAL GROWTH

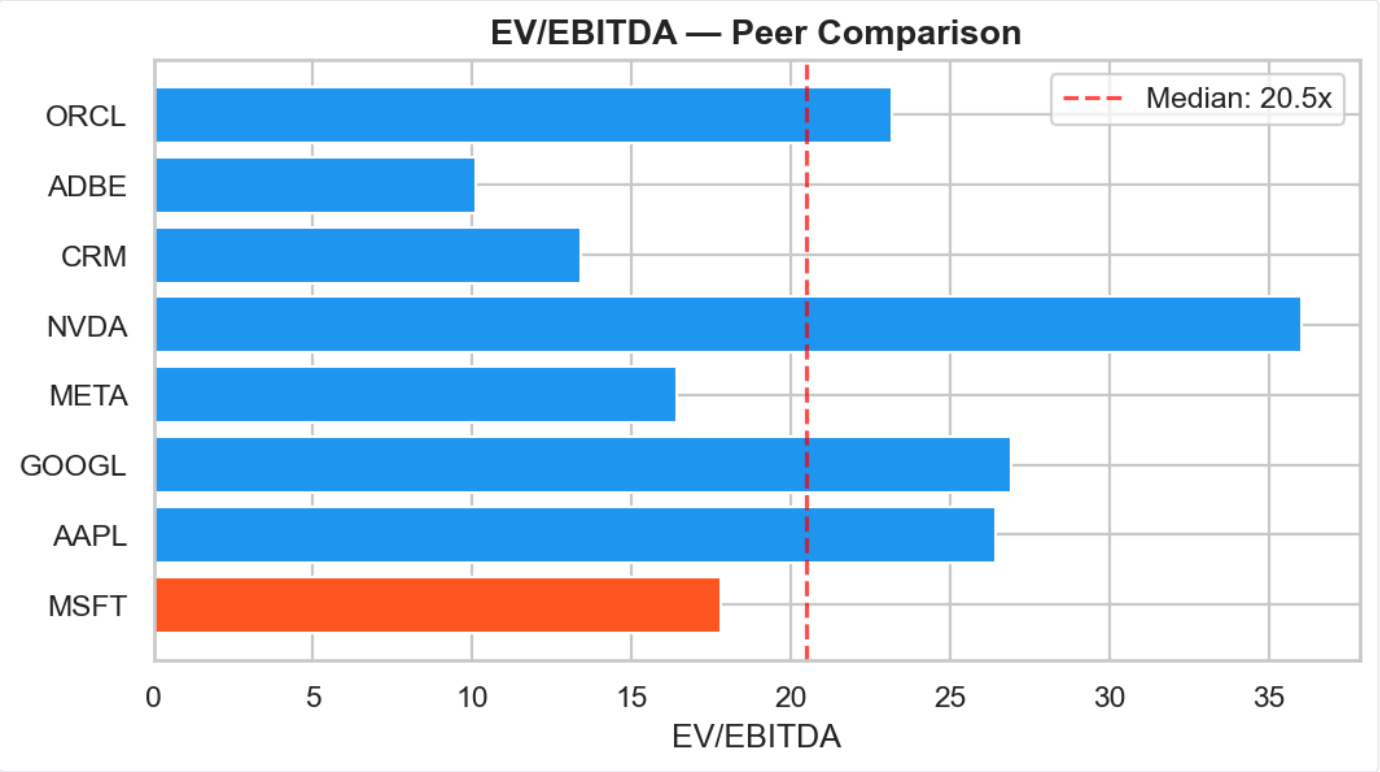


> **How to read:** each cell is the model's fair value per share under a different combination of WACC (row, discount rate) and terminal growth (column, long-run growth beyond the forecast window). Green = above current price (upside); red = below (downside). Baseline is the cell at the center row/column. Computed Python-side by re-running the DCF over a 5×5 grid — no LLM.

COMPARABLE IMPLIED VALUES

Method	Implied Fair Value
Ev Revenue Implied	$349.96
Pe Implied	$426.36
Pb Implied	$455.62

Peer Comparison & Industry Context



Source: EV/EBITDA ratio for each peer, pulled live from yfinance. The target ticker is highlighted in orange; the dashed red line is the median across the peer set. Peers are selected by GICS sector/sub-industry match (computed Python-side). A bar above the median suggests relative premium valuation; below the median suggests a relative discount on this multiple.

Peer Set

Ticker	EV/EBITDA	P/E	P/S
AAPL	26.4x	34.4x	—
GOOGL	26.9x	31.3x	—
META	16.4x	28.4x	—
NVDA	36.0x	41.4x	—
CRM	13.4x	22.6x	—
ADBE	10.1x	14.1x	—
ORCL	23.2x	31.1x	—

Competitive Positioning

MSFT is positioned relatively well among its peers, with its EV to Revenue and EV to EBITDA ratios being close to the median values. However, its PE Ratio and Forward PE are slightly below the median, indicating a relatively lower valuation compared to its peers.

STRENGTHS

- Relatively lower valuation multiples compared to peers
- Profit margin is not the lowest among peers, indicating some level of operational efficiency

WEAKNESSES

- Revenue growth is not the highest among peers, which could indicate slower expansion
- Not the most profitable in terms of profit margin compared to some peers like NVDA

Shareholder Meeting & Material Events

Sourced from SEC EDGAR filings (DEF 14A proxy statements and Form 8-K).

Shareholder Meeting (DEF 14A)

Filed Oct 21, 2025 — Accession 0001193125-25-245150

MEETING DATE	**2025-12-05**
EXECUTIVE COMP.	**Say-on-pay vote**
GOVERNANCE	**Carlos Rodriguez not seeking re-election**

VOTING PROPOSALS

- Elect 12 directors
- Approve named executive officer compensation
- Ratify Deloitte & Touche LLP as independent auditor
- Approve Microsoft Corporation 2026 Stock Plan
- Vote on 6 shareholder proposals

DIRECTOR NOMINEES

John David Rainey

Recent Material Events (Form 8-K)

Date	Disclosure
2026-01-28	Financial results for fiscal quarter ended 2025-12-31

Investor Takeaways

- Microsoft's annual meeting is on 2025-12-05
- Company reports financial results for fiscal quarter
- Governance changes include new director nominee

Ownership & Insider Activity

Insider transactions and institutional holdings from yfinance.

Holder Breakdown

0.00079	insidersPercentHeld
0.76365	institutionsPercentHeld
0.76426005	institutionsFloatPercentHeld
8003.0	institutionsCount

Recent Insider Transactions

Insider	Position	Transaction	Shares	Date
HOGAN KATHLEEN T	Officer		12320	2026-03-06
STANTON JOHN W.	Director		5000	2026-02-18
LIST TERI	Director		145	2026-01-30
MASON MARK A.L.	Director		145	2026-01-30
STANTON JOHN W.	Director		145	2026-01-30
SCHARF CHARLES W	Director		145	2026-01-30
HOGAN KATHLEEN T	Officer		150	2025-12-10
NUMOTO TAKESHI	Officer		2850	2025-12-04
LIST TERI	Director		130	2025-12-04
MASON MARK A.L.	Director		130	2025-12-04

Top Institutional Holders

Holder	Shares	% Out	Value	Reported
Vanguard Group Inc	717942580	9.67%	$300.1B	2025-12-31
Blackrock Inc.	601897495	8.11%	$251.6B	2025-12-31
State Street Corporation	306150608	4.12%	$128.0B	2025-12-31
FMR, LLC	200948745	2.71%	$84.0B	2025-12-31
Geode Capital Management, LLC	182618400	2.46%	$76.3B	2025-12-31
JPMORGAN CHASE & CO	147759850	1.99%	$61.8B	2025-12-31
Price (T.Rowe) Associates Inc	125709121	1.69%	$52.5B	2025-12-31
Morgan Stanley	121220561	1.63%	$50.7B	2025-12-31
NORGES BANK	104761241	1.41%	$43.8B	2025-12-31
Capital International Investors	81585381	1.1%	$34.1B	2025-12-31

Risks

Overall Risk Rating: MEDIUM

Microsoft Corporation's risk profile is primarily driven by financial and operational factors, including high WACC, large enterprise value, and operating margin sensitivity. Market and macro risks are also present, but to a lesser extent. ESG risks are not apparent based on the provided data.

Financial Risks

Risk	Severity	Likelihood
High WACC (0.0967) indicating potential high cost of capital	**MEDIUM**	MEDIUM
Large enterprise value ($1,951,968,802,785.68) may indicate high leverage	**MEDIUM**	MEDIUM

Operational Risks

Risk	Severity	Likelihood
Operating margin (0.4562) may be sensitive to changes in business conditions	**MEDIUM**	MEDIUM

Market Risks

Risk	Severity	Likelihood
Projected revenue growth may be impacted by competitive dynamics	**MEDIUM**	MEDIUM

Macro Risks

Risk	Severity	Likelihood
Interest rate sensitivity due to high WACC (0.0967)	**MEDIUM**	MEDIUM

Appendix — Assumptions, Sources, QC

Valuation Assumptions

Parameter	Value
revenue base	$281.7B
revenue growth rates	[0.0688, 0.1567, 0.1493]
operating margin	45.62%
tax rate	21.0%
capex to revenue	5.0%
depreciation to revenue	4.0%
nwc change to revenue	1.0%
risk free rate	4.3%
beta	1.107
market risk premium	5.5%
cost of debt	5.0%
debt ratio	11.16%
terminal growth rate	2.5%
terminal method	gordon
exit ev ebitda multiple	15.0
shares outstanding	$7.4B
net debt	$12.9B
projection years	5

SEC Filings Referenced

Form	Filed	Accession
10-K	2025-07-30	0000950170-25-100235
10-K	2024-07-30	0000950170-24-087843
10-K	2023-07-27	0000950170-23-035122
DEF 14A	2025-10-21	0001193125-25-245150
DEF 14A	2024-10-24	0001193125-24-242883
8-K	2026-01-28	0001193125-26-027198
8-K	2025-12-08	0001193125-25-311196
8-K	2025-10-29	0001193125-25-256310
8-K	2025-09-30	0001193125-25-225125
8-K	2025-07-30	0000950170-25-100226

Automated QC Check

FLAGS FOUND — The valuation appears to have some issues, but further analysis is needed to determine the impact on the overall assessment.

Issue	Severity	Detail
High WACC value	MEDIUM	The WACC value of 9.67% is at the upper end of the typical range of 6-14%
Terminal value is an outsized portion of total value	HIGH	The terminal value accounts for 88.2% of the total value, which is above the 80% threshold
High implied fair value compared to market cap	MEDIUM	The implied fair value of $261.13 is significantly lower than the current market cap of $195,196,880,278.58
Projected revenue growth is high	MEDIUM	The projected revenue growth rate is 12.5% for the next 5 years, which is above the industry average

Disclaimer. *This report is generated by an automated analysis system using publicly available data from SEC EDGAR, Yahoo Finance, and FRED. All numerical calculations are performed programmatically; narrative sections are authored by an LLM (Groq) using the provided data only. Nothing herein constitutes investment advice. Past performance does not guarantee future results. Always conduct independent due diligence before making investment decisions.*